Selected question: 1

Which one of the following is a normative statement?

(1) Economists classify natural resources as renewable and non-renewable resources.
(2) The environment is an example of a scarce resource.
(3) Economies have limited means to satisfy unlimited wants.
(4) The rate of inflation in Sri Lanka at present is single digit.
(5) An unequal distribution of income is unfair.

Selected question: 2

The opportunity cost of increasing capital investment in a fully employed economy would be

(1) a fall in consumption.
(2) a fall in income.
(3) a rise in saving.
(4) a rise in the rate of interest.
(5) a fall in output.

Selected question: 3

The term 'transition economy' is used to describe a country that is

(1) adopting capital intensive methods in place of labour-intensive methods.
(2) moving from central planning towards the market system.
(3) moving from a low-income category to a middle-income category.
(4) replacing a trade deficit with a trade surplus.
(5) moving from a traditional economy towards central planning economy.

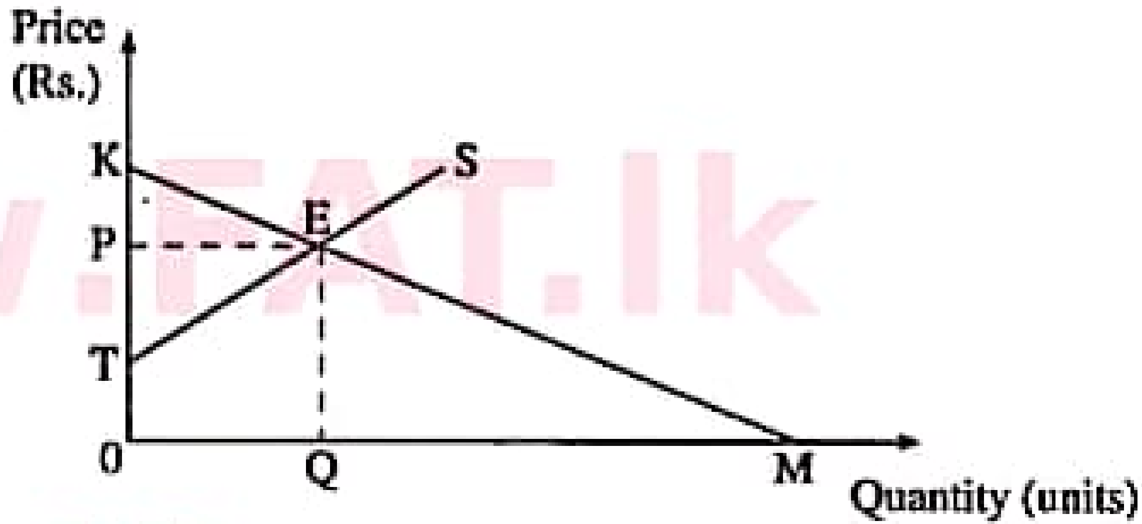
Selected question: 4

One of the important characteristics of a centrally planned economic system is

(1) the allocation of resources based on relative prices.
(2) the private ownership of resources which is fundamental to economic growth.
(3) the decisions taken by government planners regarding how best to produce goods and services in the economy.
(4) the achievement of economic efficiency superior to the market economic system.
(5) the very unequal distribution of income and wealth.

Selected question: 5

The diagram shows the market demand and supply curves for a product.

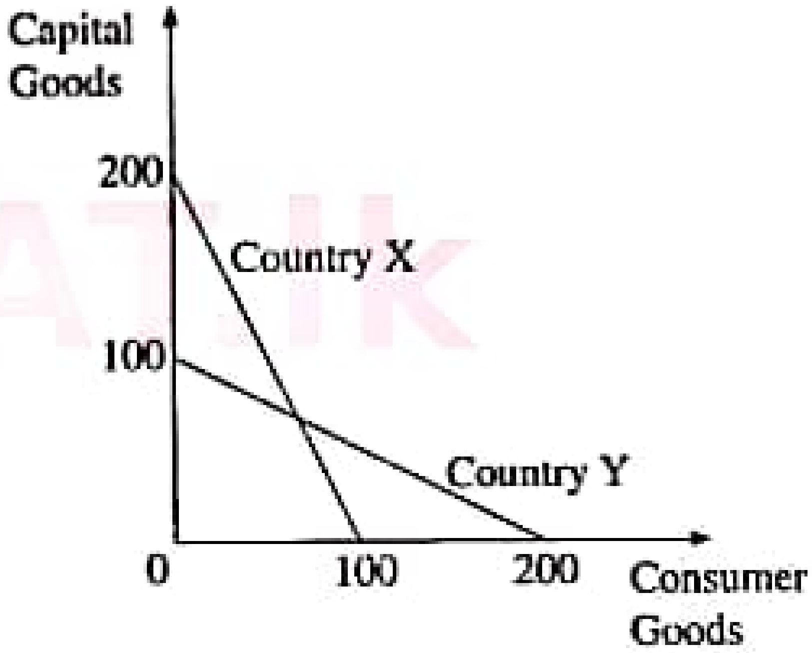


Which area measures the total amount consumers would be willing to pay for the equilibrium level of output?

(1) 0QEP
(2) 0TEQ
(3) PEK
(4) 0KM
(5) 0KEQ

Selected question: 6

The diagram shows the production possibility curves for two countries, X and Y.



Which statement about two countries is correct?

(1) Both countries always have identical opportunity costs.
(2) Both countries have the same future growth prospects.
(3) The opportunity costs are increasing in both countries.
(4) The two countries can never produce the same combination of products.
(5) Country X has a higher opportunity cost than country Y in producing consumer goods.

Selected question: 7

The table below shows the cross elasticities of demand for the product of five companies with respect to the prices of their closest substitutes.

Company	Cross elasticity of demand
Company A	+ 3.0
Company B	+ 2.5
Company C	+ 1.0
Company D	+ 0.8
Company E	+ 0.2

According to this information, the company likely to possess the greatest market power would be

(1) Company A. (2) Company B. (3) Company C. (4) Company D. (5) Company E.

Selected question: 8

The total revenue of the firm will decline when

(1) price rises and supply is elastic.
(2) price falls and demand is elastic.
(3) price rises and demand is inelastic.
(4) price rises and demand is elastic.
(5) price falls and demand is unitary elastic.

Selected question: 9

If X is an inferior good, a decrease in income will.

(1) decrease demand, decrease price, and decrease quantity demanded.
(2) decrease demand, increase price, and decrease quantity demanded.
(3) increase demand, increase price, and decrease quantity demanded.
(4) increase supply, decrease price, and increase quantity demanded.
(5) increase demand, increase price, and increase quantity demanded.

Selected question: 10

Suppose the market for oranges is currently in equilibrium. If the supply of oranges decreases, while at the same time the demand for oranges increases, what can you say about the price and quantity of oranges in the market?

(1) Price and quantity both rise.
(2) Price rises, but the change in quantity is ambiguous.
(3) Price and quantity both fall.
(4) Quantity rises, but the change in price is ambiguous.
(5) Neither price nor quantity change as these shifts offset one another.

Selected question: 11

Suppose the price elasticity of demand for cigarettes is less than one. When an excise tax is imposed on cigarette production, it changes the price, quantity, and consumer spending in which of the following ways?

	Price	Quantity	Consumer Spending
(1)	decrease	increase	increase
(2)	decrease	decrease	decrease
(3)	increase	decrease	decrease
(4)	increase	decrease	increase
(5)	increase	increase	increase

Selected question: 12

Suppose the government sends each parent a coupon that can be used to subsidize the cost of sending each child to daycare. What would you expect to occur in the market for daycare services?

(1) The demand for daycare falls, lowering the price.
(2) The demand for daycare rises, increasing the price.
(3) The supply of daycare rises, lowering the price.
(4) The supply of daycare falls, increasing the price.
(5) A permanent shortage of daycare services would exist.

Selected question: 13

What is necessary for consumer surplus to be zero?

(1) Demand is perfectly price elastic.
(2) Demand is perfectly price inelastic.
(3) Supply is perfectly price elastic.
(4) Supply is perfectly price inelastic.
(5) Price elasticity of demand is relatively greater than the price elasticity of supply.

Selected question: 14

There will be a simultaneous increase in both price and quantity traded in the market for 'a normal good' due to

(1) the removal of the effective maximum price on the good.
(2) technological progress in the production of the good.
(3) the imposition of the tax on the good.
(4) the granting of a subsidy to producers of the good.
(5) decrease in the price of a substitute for this product.

Selected question: 15

When the marginal product of labour is equal to average product of labour,

(1) marginal product of labour is at its maximum.
(2) marginal cost of production is at its minimum.
(3) marginal cost is equal to minimum average variable cost.
(4) average total cost is at its minimum.
(5) total product of labour is at its maximum.

Selected question: 16

To increase its labour force from 100 to 101 workers, a firm has to increase its daily wage rate from Rs. 600 to 650. Under this situation, the marginal cost of labour per day is

(1) Rs. 50. (2) Rs. 650. (3) Rs. 5,650. (4) Rs. 60,000. (5) Rs. 65,650. **FAT.II**

Selected question: 17

An economist calculates that a firm has incurred the following production costs over the course of a year.

Item	Cost (Rs. Thousands)
Wages and salaries	150
Opportunity cost of owner's time	40
Cost of materials	80
Rent	30
Marketing fees	20
Interest on bank loans	25
Interest forgone on finance provided by owner	15

By how much does total cost as defined by an economist exceed the total cost as defined by an accountant?

(1) Rs. 30,500. (2) Rs. 55,000. (3) Rs. 85,000. (4) Rs. 305,000. (5) Rs. 360,000.

Selected question: 18

Firm A reduces its workers from 250 to 200 and as a result its output decreases from 5,000 to 4,800 units per day. Firm B increases its workers from 800 to 1,000 and as a result its output increases from 2,000 to 2,200 units per day. What happens to labour productivity of the workers in the two firms?

	Labour Productivity of Firm A	Labour Productivity of Firm B
(1)	Falls	Rises
(2)	Rises	Falls
(3)	Rises	Rises
(4)	Falls	Falls
(5)	Rises	Remains unchanged

Selected question: 19

An industry consists of a large number of firms, all of which produce an identical product. What could explain why the demand curve facing each individual firm is downward sloping?

(1) All firms act as price takers.
(2) Freedom of exit and entry.
(3) Perfect mobility of resources.
(4) A limit on the amount consumers have available to spend.
(5) Imperfect knowledge about the market on the part of consumers.

Selected question: 20

A perfectly competitive firm is producing 200 bags of rice per week, which it sells at Rs. 250 per bag. The table shows the firm's costs.

Item	Cost (Rs.)
Total fixed cost	20,000
Total variable cost	40,000
Marginal cost	250

In the short run, what should the firm do to maximize profits or minimize its losses?

(1) Cease production altogether.
(2) Increase its output.
(3) Decrease its output.
(4) Lower its price.
(5) Maintain its output at present level.

Selected question: 21

Which of the following would **not** affect the size of real GDP?

(1) A consumer purchases a new car for personal use.
(2) The government purchases a new bus for the defence academy.
(3) A consumer purchases a haircut from a hairdresser.
(4) An investor purchases a rare renaissance painting at an auction.
(5) A firm purchases a new power generator for its factory.

Selected question: 22

Suppose that autonomous consumption is Rs. 400 and that the marginal propensity to consume is 0.8. If disposable income increases by Rs. 1,200, consumption spending will increase by

(1) Rs. 1600. (2) Rs. 1360. (3) Rs. 1200. (4) Rs. 960. (5) Rs. 400.

Selected question: 23

In a closed economy with only lump-sum taxation, if the marginal propensity to save is equal to 0.25, a Rs. 80 billion increase in government purchases could cause a maximum increase in output of

(1) Rs. 80 billion. (2) Rs. 80.25 billion. (3) Rs. 160 billion.

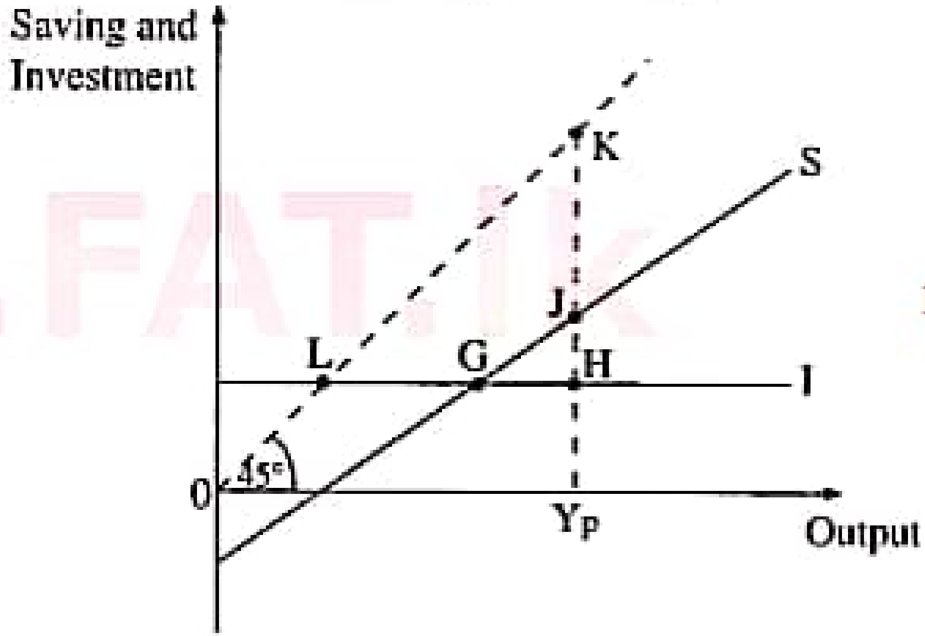
(4) Rs. 240 billion. (5) Rs. 320 billion.

In a closed economy with no government, C = 30 + 0.7Y, where C is consumption and Y is income. The equilibrium level of income is Rs. 300 million. What is the level of investment?

(1) Rs. 60 million.
(2) Rs. 100 million.
(3) Rs. 210 million.
(4) Rs. 240 million.
(5) Rs. 300 million.

Selected question: 25

The diagram below shows the saving and investment curves of a closed economy with no government.



The potential level of output is Yp. Therefore, the gap between actual and potential output can be measured by the distance

(1) LG. (2) GH.

(3) JH. (4) KJ.

(5) HK.

Selected question: 26

In one year, total spending on consumption, investment and government purchases was equal to 103 percent of a country's Gross Domestic Product. This would be possible only if

(1) the money supply increased.
(2) net exports were positive.
(3) net exports were negative.
(4) the government ran a budget surplus.
(5) the government had a balance budget.

Selected question: 27

A closed economy has a banking system consisting of a single bank. The bank operates with a reserve ratio of 10%. Customers deposit Rs. 10,000 in cash. Assuming no subsequent change in notes and coins in circulation what is the maximum amount of loans that the bank can grant?

(1) Rs. 1,000 (2) Rs. 9,000 (3) Rs. 10,000 (4) Rs. 90,000 (5) Rs. 100,000

Selected question: 28

According to Keynesian theory, in which circumstances would there always be an increase in the demand for money?

	Real Income	Price Level	Interest Rates
(1)	increase	decrease	increase
(2)	constant	constant	increase
(3)	increase	increase	decrease
(4)	constant	decrease	decrease
(5)	decrease	constant	increase

Selected question: 29

Assume that the economy is at full employment. Policymakers wish to maintain the price level stable but want to encourage greater investment. Which of the following combinations of monetary and fiscal policies would best achieve this goal?

	Monetary Policy	Fiscal Policy
(1)	no change	contractionary
(2)	expansionary	no change
(3)	expansionary	contractionary
(4)	expansionary	expansionary
(5)	contractionary	expansionary

Selected question: 30

Which of the following policy choices represents a combination of fiscal and monetary policies designed to bring the economy out of a recession?

(1) Decreasing both taxes and the money supply.
(2) Increasing both taxes and the money supply.
(3) Increasing government spending and decreasing the central bank interest rates.
(4) Increasing both taxes and the discount rate.
(5) Engaging in deficit budgeting and selling securities in the open market.

Selected question: 31

In an economy, the volume of output rises by 2% in a year, while the quantity of money rises by 5%. If the velocity of circulation of money remains the same, what will be the approximate increases in the price level and the nominal value of total output?

	Increase in price level	Increase in nominal value of total output
(1)	2%	5%
(2)	2%	7%
(3)	2.5%	10%
(4)	3%	5%
(5)	3%	7%

Selected question: 32

The following table gives index numbers for a measure of an economy's nominal value of Gross Domestic Product for the period 2008 - 2012.

Year	Nominal Value of Gross Domestic Product (GDP)
2008	100
2009	96
2010	90
2011	85
2012	83

From the data it can be concluded that from 2008 - 2012 there must have been a fall in

(1) aggregate demand.
(2) real output.
(3) the rate of inflation.
(4) the government's budget deficit.
(5) deficit in the trade balance.

Selected question: 33

Which consequence of building a new railway line would be classified as a positive externality?

(1) A reduction in road accidents.
(2) The increase in profits for the Railways Department.
(3) The increase in revenue from tourists traveling on the line.
(4) The saving in travel time by passengers who travel on the line.
(5) A reduction in the value of real estate located close to the line.

Selected question: 34

'A merit good' is a

(1) good that is made available to consumers according to merit.
(2) good that the government believes consumers will buy too little of it if it is provided by free market.
(3) good that the government believes consumers will buy too much of it if it is provided by free market.
(4) good where any benefit obtained by one consumer is extended to all consumers.
(5) good where the private benefits of consuming the good exceed its social benefits.

Selected question: 35

A regressive tax is defined as one where

(1) all tax payers pay the same absolute amount of their income in taxation.
(2) high income earners pay a lower proportion of their income in taxes than low income earners.
(3) high income earners pay less in taxes than low income earners.
(4) high income earners pay more in taxes than low income earners.
(5) the tax burden can be shifted backward.

Selected question: 36

The table below shows the number of goods **X** and **Y** which the two countries **A** and **B** produce using a composite resource unit.

Product	**Country A**	**Country B**
Good X	100	300
Good Y	200	400

Assume that each country specializes in the product in which it has a comparative advantage. The rate of exchange suitable for each country to gain from trade would be.

(1) 1X = 1Y (2) 1X = 1.3Y (3) 1X = 1.5Y (4) 1X = 2Y (5) 1X = 3Y

Selected question: 37

A Sri Lankan manufacturing firm exports US $ 10 million worth of tires to a company in the UK. According to the double-entry accounting system, which two parts of the balance of payments accounts will be affected by this transaction?

(1) Exports in current account and capital transfers in capital account.
(2) Exports in current account and incomes in current account.
(3) Exports in current account and reserve assets in financial account.
(4) Liabilities in financial account and claims on non-residents in financial account.
(5) Exports in current account and claims on non-residents in financial account.

Selected question: 38

The Department of Statistics of a country wishes to present its final balance of payments account. It has calculated the current account balance, the capital account balance and financial account balance. The additional information required to complete the task is

(1) change in foreign currency reserves.
(2) foreign aid.
(3) errors and omissions.
(4) speculative currency flows.
(5) change in portfolio investment.

Selected question: 39

A country's terms of trade currently stands at 150 (base year 2010 = 100). Since 2010 the average price the country has received for its exports has increased by 20%. Thus, the average price it has paid for its imports should have changed by

(1) –50%. (2) –25%. (3) –20%. (4) +20%. (5) +25%.

Selected question: 40

Assume that a representative basket of goods costs $ 120 in the United States. The same basket of goods costs Rs. 9,600 in Sri Lanka. It can be deduced from this that the

(1) external value of the rupee is 25% overvalued.
(2) external value of the rupee is 20% undervalued.
(3) purchasing power parity exchange rate is Rs. 96 per dollar.
(4) purchasing power parity exchange rate is Rs. 80 per dollar.
(5) purchasing power parity exchange rate $ 0.10 per rupee.

Selected question: 41

Foreign direct investment in developing economies is likely to result
(1) a reduction in local wage levels.
(2) a reduction in tax revenues in developing economies.
(3) a reduction in the range of consumer goods available to the local population.
(4) a worsening of net foreign income flows from investments.
(5) a worsening of the capital account of the balance of payments.

Selected question: 42

What is typically associated with a relatively low level of income per capita in a country?

(1) A high rate of saving.
(2) A low rate of economic growth.
(3) A low rate of inflation.
(4) A low rate of population growth.
(5) A high rate of employment.

Selected question: 43

A combination of factors which is most likely to generate a more rapid economic growth is

(1) an increase in employment and in the balance of payments deficit.
(2) an increase in the level of investment and in the size of the working population.
(3) more equal distribution of wealth and a higher level of transfer payments.
(4) more rapid inflation and an increase in the national debt.
(5) an increase in foreign direct investment and increase in interest rates.

Selected question: 44

The table below shows, for a given year, the figures for consumption, gross capital formation and depreciation in five countries, namely, A, B, C, D and E. (All measured in millions of US dollars.)

Country	Consumption	Gross Capital Formation	Depreciation
A	200	40	50
B	500	200	150
C	1000	1200	1400
D	5000	6000	6000
E	10000	8000	8200

Given the state of technology remains unchanged, the country which is most likely to experience economic growth is,

(1) A (2) B (3) C (4) D (5) E

Selected question: 45

Supply-side policies are generally understood to be policies which

(1) improve productivity and reduce market imperfections.
(2) enable the government to supply as many goods and services as possible.
(3) reduce the supply of labour in order to minimize the problem of unemployment.
(4) reduce inflation by controlling interest rates.
(5) promote aggregate demand.

Selected question: 46

The table below shows the share of total income of different income groups in an economy in 2000 and 2010.

Income group	% share of total income	
	2000	2010
Bottom 10%	4.1	2.5
Bottom 20%	9.8	6.8
Bottom 30%	16.0	12.0
Top 30%	47.0	54.0
Top 20%	35.0	41.0
Top 10%	20.0	26.0

From the data it may be concluded that over the period in question
(1) the bottom income groups experienced a fall in their income.
(2) the distribution of income became more unequal.
(3) the distribution of wealth became more unequal.
(4) everyone became better off because total income increased.
(5) the Gini coefficient has decreased.

Selected question: 47

Which one of the following changes would best indicate that a country has experienced development?

(1) An improvement in the average citizen's quality of life.
(2) An increase in the country's real GDP.
(3) An improvement in the country's trade balance.
(4) An appreciation in the country's currency.
(5) An increase in the adult literacy rate.

Selected question: 48

Economists have proposed that the best policy to promote development is "trade not aid". The implication of this proposal is that developing countries should

(1) become self-sufficient and not rely on aid.
(2) be given greater access to markets in developed countries.
(3) use foreign aid to invest in their export industries.
(4) use trade barriers to promote import substitution.
(5) promote development by achieving a surplus in the trade balance.

Selected question: 49

Some of the demographic data for country **X** is given in the following table:

Item	**Number (in million)**
Total population	180
Population (10 years and over)	150
Employed population	81
Unemployed population	9
Population not economically active	60

Based on the above information, what is the answer that shows the unemployment and labour force participation rates for country **X**?

	Unemployment Rate	**Labour Force Participation Rate**
(1)	10.00%	60.00%
(2)	10.00%	53.33%
(3)	6.66%	50.00%
(4)	5.55%	50.00%
(5)	5.65%	33.33%

Selected question: 50

In a given economy, both employment and unemployment rose over a period of ten years. This situation must have been produced by the increase in

(1) birth rate.
(2) economically active population.
(3) life expectancy.
(4) dependency ratio.
(5) out migration.

Selected question: 1

(i) What is the difference between 'capital' and 'human capital'? (04 *marks*)

(ii) In what ways does money facilitate specialization and the division of labour? (04 *marks*)

(iii) Contrast how a market economy and a command economy try to cope with the problem of scarcity. (04 *marks*)

(iv) What conditions must be satisfied if resources are used efficiently in the economy? (04 *marks*)

(v) How does the production possibility frontier help to illustrate the microeconomic and macroeconomic issues in the economy? (04 *marks*)

Selected question: 2

(i) Describe the signaling and rationing functions of market prices. (04 *marks*)

(ii) Name four major non-price determinants of supply for an industrial product. (04 *marks*)

(iii) Some of the data relevant for market demand and supply schedules are given below:

Price (Rs.)	Quantity Demanded (Q_d)	Quantity Supplied (Q_s)
4	84	12
8	68	44

Assuming that both demand and supply curves are linear, derive the equations for market demand and supply curves. (04 *marks*)

(iv) Compute the equilibrium price and quantity using demand and supply equations. (04 *marks*)

(v) Assuming that the government imposes a specific tax of Rs. 3 per unit and compute the price received by the producers after the tax and the tax revenue of the government. (04 *marks*)

Selected question: 3

(i) Explain how the law of diminishing returns and the law of returns to scale affect a firm's cost of production. (04 *marks*)

(ii) Discuss whether there is a relationship between the marginal cost curve of the firm and the supply curve of the industry to which it belongs. (04 *marks*)

(iii) Explain why a firm under perfect competition faces a horizontal demand curve while the industry faces a downward sloping demand curve. (04 *marks*)

(iv) A firm operating in the short period reports that its total revenue is Rs. 100 million, total cost is Rs. 120 million, and total fixed cost is Rs. 40 million. Should the firm stay in business? Why? (04 *marks*)

(v) Why is the equality of marginal revenue and marginal cost essential for profit maximization in all market structures? Explain why price (P) can be substituted for marginal revenue (MR) in the MR = MC rule when the firm is operating in a perfectly competitive industry. (04 *marks*)

Selected question: 4

(i) What do you mean by changes in inventory? Why are changes in inventories included as part of investment spending? (04 *marks*)

(ii) Why are interest payments by the government considered part of personal income but not part of national income? (04 *marks*)

(iii) "A country that spends more than its total national income must have a deficit in the trade balance." Comment on this statement. (04 *marks*)

(iv) You are given the following information about the economy. (in million Rs.)

National income (Y)	=	5,200
Disposable income (Y_d)	=	4,400
Consumption (C)	=	4,100
Budget deficit (BD)	=	150
Deficit in the trade balance	=	110

Calculate the
 (a) value of government purchases (G)
 (b) saving (S)
 (c) investment (I)
from the above information. (04 *marks*)

(v) What is the 'underground economy'? How might its size be reduced? (04 *marks*)

Selected question: 5

(i) Briefly explain the meaning of the 'investment multiplier'. (04 *marks*)

(ii) Distinguish between 'inflationary gap' and 'recessionary gap'. (04 *marks*)

(iii) "The simple income-expenditure model of income determination shows that the economy can be in equilibrium with either inflation or unemployment or neither". Explain using appropriate diagrams. (04 *marks*)

(iv) Suppose that for a particular closed economy, for some given time period, investment was equal to 100, government purchases were equal to 75, net taxes were fixed at 100, and consumption (C) given by the consumption function,

$$C = 25 + 0.8\ Y_d$$

where Y_d is disposable income.

(a) What are the values of the government expenditure multiplier and the tax multiplier? (04 *marks*)

(b) Suppose that the full-employment level of income for this economy is 1,000. What would be the increase in government spending required to reach full-employment income level? Alternatively, what reduction in tax collection would be sufficient to reach full-employment income level? (04 *marks*)

Selected question: 6

Sub Section B

(Select minimum of two questions from this section.)

(i) What do you mean by 'high powered money'? Explain briefly how high powered money may be created by a central bank. (04 *marks*)

(ii) What are the determinants of money supply in an economy? (04 *marks*)

(iii) What are the major categories of financial institutions that make up the Sri Lanka's financial system? (04 *marks*)

(iv) Assume that for a hypothetical economy, money supply (M) is Rs. 1,200 billion, total bank deposits (D) are Rs. 800 billion, the required reserve-deposit ratio is 10% and that banks do not hold excess reserves.

(a) What is the value of the money multiplier for this economy?

(b) If the central bank purchases Rs. 3 billion worth of Treasury bills from the commercial banks, what is the greatest amount by which total money supply could change? (04 *marks*)

(v) Present a brief exposition on 'the quantity theory of money'. Identify the assumptions associated with it. (04 *marks*)

Selected question: 7

(i) Why might market fail to allocate resources in an efficient manner? (04 *marks*)

(ii) With the help of an appropriate diagram, explain why there are too many motorists than socially desired in Sri Lankan roads. (04 *marks*)

(iii) Why is a role for government inevitable in a market economy? (04 *marks*)

(iv) Outline the desirable properties of a good tax system. (04 *marks*)

(v) Explain the ways in which fiscal policy can reduce income inequality. (04 *marks*)

Selected question: 8

(i) Distinguish between absolute advantage and comparative advantage in production. Illustrate your answer giving numerical examples. (04 *marks*)

(ii) Explain the economic factors which might determine patterns of trade between countries. (04 *marks*)

(iii) Compare and contrast the global and regional approaches to reducing barriers to international trade. (04 *marks*)

(iv) What are the advantages and disadvantages of a flexible exchange rate system? (04 *marks*)

(v) Examine the recent trends in export earnings and import spending of Sri Lanka. What factors have contributed to the large trade deficit in Sri Lanka at present? (04 *marks*)

Selected question: 9

(i) Critically examine the difference between economic growth and development. (05 *marks*)

(ii) Outline the main factors which determine the level of productivity in a country. (05 *marks*)

(iii) "Although Sri Lanka's human development achievement at national level is impressive, there are disparities in human development across provinces and sectors." Explain. (05 *marks*)

(iv) Identify the salient features of demographic transition in Sri Lanka. What are their economic implicatons? (05 *marks*)

Selected question: 10

(i) Examine the recent trends in Sri Lanka's saving-investment gap. (04 *marks*)

(ii) What are the implications of negative saving-investment gap for the economy of Sri Lanka which is expected to reach a level of per capita income of over US $ 4 000 before 2016? (06 *marks*)

(iii) What are the challenges facing the tourism sector in Sri Lanka to develop country as a major tourist destination in Asia? (05 *marks*)

(iv) To what extent do you think having good governance is a key to poor countries achieving stable and long term economic growth? (05 *marks*)